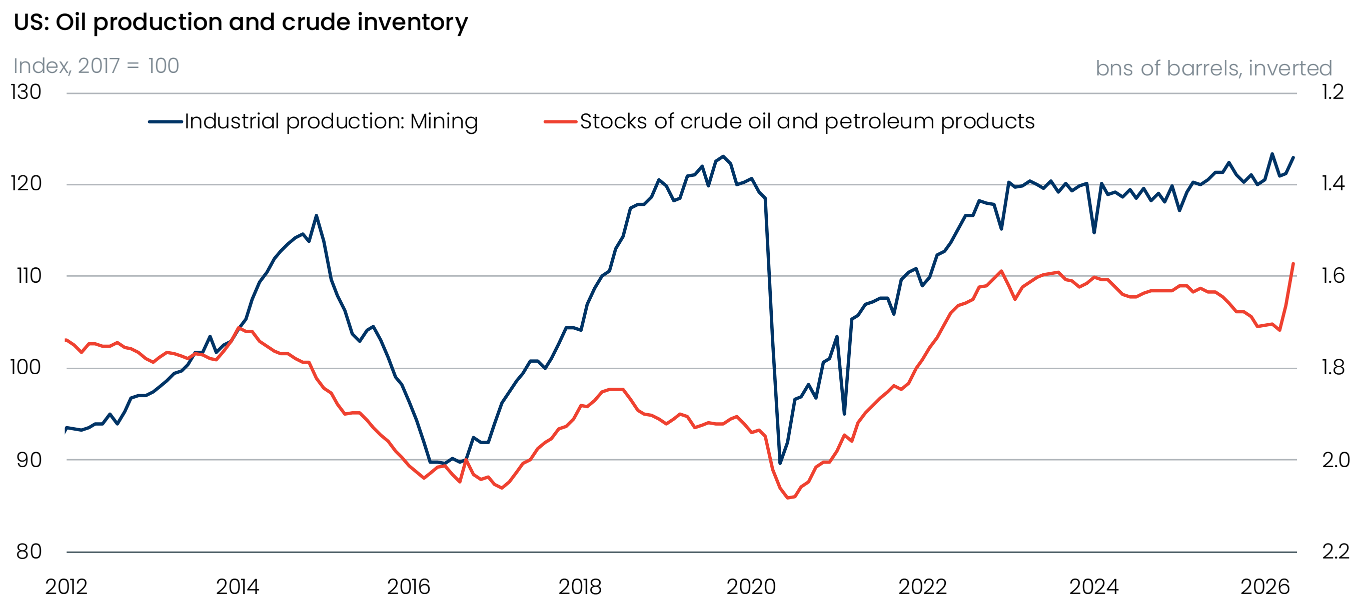
Outlook for industrial production remains bright

- **Industrial production grew by less than expected in May, but the underlying details of the report underscore our expectations for growth throughout 2026. Supportive fiscal policy continues to boost business equipment and defense and space equipment production, while production of computers and electronics showed no signs of slowing thanks to the AI buildout.**
- **Output in industries most reliant on petroleum-based products such as chemicals, plastics, and rubber struggled again in May, but the tentative peace agreement between the US and Iran should limit downside risk to these sectors. Meanwhile, mining output will be supported by the large drawdown in inventories since the outbreak of the war.**

The 0.1% rise in industrial production in May was weaker than we expected, but the 0.2ppt upward revision to 0.9% for the April reading provided some encouraging news in the report. Manufacturing activity was essentially flat, but this came after a 0.7% increase in April, while a 1.3% rise in mining output offset the 0.4% decline in utilities.

As with the prior month, last year's fiscal package had its fingerprints all over the report. Business equipment production rose 0.6% m/m and is up 5.6% over the prior 12 months, reflecting the higher after-tax return on qualified capital investments. Relatedly, defense and space equipment posted another strong month of manufacturing activity. The AI buildout is showing no signs of relenting either. Production of computers and electronics has risen by an average of 1.2% over the prior five months, and this has had positive knock-on effects on electrical equipment output.

Chart 1: Drawdown in oil stocks will boost mining output in the months ahead



Sources: Oxford Economics, Haver Analytics

Matthew Martin | Senior US Economist | mmartin@oxfordeconomics.com

Signs of weakness continued to creep into industries most reliant on petroleum-based products such as chemicals, plastics, and rubber. Both have posted consecutive monthly declines as the war in Iran kept oil prices elevated. However, the agreement between the US and Iran late last week is a significant step towards a normalization in oil markets. While it will take time for flows through the Strait of Hormuz to resume, the agreement reduces the tail risk of dwindling oil inventories prompting a more severe oil price spike.

Meanwhile, domestic inventories of crude have declined by 10% since the start of the war and now sit at their lowest level since 2022. These inventories will need to be replaced, meaning industrial production in mining will get a boost over the rest of the year, even if production capacity doesn't markedly move higher (Chart 1).

All told, the outlook looks bright for industrial production this year. The resolution of the war, if it sticks, will reduce the drag from uncertainty on business investment decisions, while tailwinds from AI and fiscal policy keep certain sectors buoyant. In addition, the inventory cycle will turn this year, supporting new orders growth for factories.